MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
CAMBRIDGE ASSESSMENT INTERNATIONAL EDUCATION
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9570/01

Paper 1

October/November 2024

2 hours 30 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **all** questions.

The number of marks is given in brackets [ ] at the end of each question or part question.

Rising inflation is a huge threat to all grocery retailers, not just supermarkets. Cost increases must inevitably be passed on to customers in the form of price increases. Very small net profit margins, typically 0.5% for supermarkets, mean that there is a limit to the extent that cost increases can be absorbed into a business. There is also a limit to the opportunities for economies of scale to consistently bring cost savings into a business.

The market in the UK is fiercely competitive. It has become even more competitive since the arrival of Aldi and Lidl in the 1990s. Initially regarded as just price cutters, they have now established themselves as quality providers of price-competitive products, many of which are exclusive to their stores. In 2022, Tesco and Sainsbury's were running 'price match' schemes on hundreds of products sold by their rivals Lidl and Aldi. Another area of intense competition is vehicle fuel. Larger supermarkets usually have on-site petrol stations selling fuel at competitive prices. Fuel sales can account for 10% or more of total sales. Discounted petrol prices can attract customers to shop at a particular supermarket, especially when there is a special promotion.

Supermarkets have sought to control their supply chains to provide a competitive edge. These supply chains include the farming, manufacturing, packaging and transporting of food and other products. The power of large supermarkets to control their supply chains has not escaped the attention of the UK's Competition and Markets Authority. This regulatory organisation has undertaken many investigations into how supermarkets treat their suppliers but there have been few fines or prosecutions for anti-competitive behaviour.

Source: Adapted from Onita L, The Telegraph, *6 January 2022*

Extract 2: The 'Big Four' supermarkets in the UK

Tesco has been the market leader for many years. Tesco has over 4600 stores in the UK including 1800 local convenience stores. It has a loyalty card (Clubcard) and an ever-widening range of own-brand food and non-food products. Its dominant position in the market gives Tesco 'price leadership', meaning that other retailers with lower market shares may follow pricing changes made by Tesco.

Sainsbury's has over 1400 stores, half of which are local convenience stores. Sainsbury's has a strong reputation for quality, especially for its own brands. Until recently, it charged a premium price for its grocery products. However, price reductions and price matches are now key features of the company's competitive strategy to retain market share.

Asda, with over 600 stores, has a competitive strategy that has always focussed on charging lower prices compared to its rivals. It was the first of the 'Big Four' to sell clothing and other non-food items.

Morrisons has around 500 stores. Unlike the other three supermarkets, it has extensive interests in food processing, production and agriculture. Many of its fresh products are sourced within a short distance of its factories and distribution centres. Morrisons has a vertically integrated structure (for example, the company owns farms) which is a central pillar of its pricing strategy.

Source: Downie R, Investopedia, 23 September 2021

(a) Using the information in Table 1, compare the change in forecast total retail grocery sales to that for online sales in the UK between 2021 and 2026. [2]

(b) Explain **two** factors that are likely to determine the forecast increased demand for online shopping. [4]

(c) Using the evidence in Extracts 1 and 2, explain **two** features of UK supermarkets that demonstrate the characteristics of an oligopoly. [4]

(d) With reference to Extracts 1 and 2, explain **one** possible reason why supermarkets might seek to control their supply chains. [2]

(e) If Sheng Siong and DFI decide to merge, discuss whether the CCCS should intervene in the merger due to adverse effects on consumers and other supermarkets in Singapore. [8]

(f) Discuss whether price competition is the best way for supermarkets to raise revenue. [10]

[Total: 30]

Extract 6:

Content ('The real winners in the US-China trade dispute'; dw.com) removed due to copyright restrictions.

Table 3: US trade in goods with Vietnam, 2017–2021

Year	US exports to Vietnam (US$bn)	US imports from Vietnam (US$bn)	US Balance of Trade with Vietnam (US$bn)
2017	8134	46477	–38343
2018	9676	49140	–39464
2019	10821	66461	–55640
2020	9912	79619	–69707
2021	10947	101908	–90961

Source: US Census Bureau, 11 July 2023

Extract 7: Prospects for the UK's and China's accession to the Comprehensive and Progressive Agreement for the Trans-Pacific Partnership (CPTPP)

The CPTPP is a trade agreement between 11 countries in the Asia-Pacific Rim. They are Australia, Brunei, Canada, Chile, Japan, Malaysia, Mexico, New Zealand, Peru, Singapore and Vietnam. As a bloc, these economies are committed, in principle, to trade liberalisation through tariff-free access to each other's markets.

The UK formally applied to join the CPTPP in February 2021, just weeks after completing Brexit, a process of withdrawal of the UK from the European Union. Full CPTPP membership would put the UK at the heart of the Asia-Pacific Rim with full access to countries that are seen as the driving force for global economic growth. Membership would also transform the nature of the CPTPP and enhance its standing as a powerful supporter of globalisation at a time when anti-globalisation threats cannot be ignored. With the admission into the CPTPP, UK industries would be able to highlight their expertise in areas such as services and digital trade. They would have the capability to establish efficient supply chain networks and leverage the member countries' diverse economic characteristics, including their resource endowment, wage structures and stages of economic development.

The rationale behind the CPTPP lies with the principle of comparative advantage. Consumers gain through lower prices and more variety of goods and services. Producers gain through being able to reduce unit costs through a more competitive and larger scale market. Resources are being used more efficiently than if each member of the bloc sought individual trade deals.

(a) With reference to Figure 2:

(i) Explain how the appreciation of the Chinese yuan against the US dollar is represented in a particular time period. [2]

(ii) Using demand and supply analysis, explain **one** possible reason why the Chinese yuan has appreciated against the US dollar on the foreign exchange market. [2]

(b) Explain how the change in the exchange rate from March to September 2018 shown in Figure 2 might have affected China's balance of payments. [4]

(c) Explain how increased exports of health supplies and equipment from China might have affected national income and the general price level in China. [4]

(d) Discuss the extent to which countries such as Vietnam, Malaysia and Taiwan are 'the real winners in the US-China trade dispute'. [8]

(e) Discuss whether the UK or China will benefit more from joining the CPTPP. [10]

[Total: 30]

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9570/02

Paper 2 Essays

October/November 2024

2 hours 30 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B and **one** from **either** Section A or Section B.

The number of marks is given in brackets [ ] at the end of each question or part question.

Section B

One or two of your three chosen questions must be from this section.

4 'It is estimated that the United States (US) government's spending plans will add a cumulative 5.3 per cent to the level of Gross Domestic Product (GDP) in the US during 2022 to 2024.'

Source: Andrew Hodge and Li Lin, IMF News, *1 July 2021*

(a) Explain how an increase in government spending can cause changes in the components of the circular flow of income **and** in the national income. [10]

(b) Discuss why an increase in government spending might have a different impact on the level of GDP in the US compared to Singapore. [15]

5 Investment is the main source of an economy's employment creation and the achievement of its other key macroeconomic policy objectives.

(a) Explain what might cause investment to increase in an economy. [10]

(b) Discuss the extent to which increasing investment is the best approach for Singapore to achieve its key macroeconomic policy objectives. [15]

6 The key to improving the standard of living in an economy is to look beyond the material standard of living. This requires the economy to enhance its sustainable and inclusive growth.

(a) Explain why measures of an economy's standard of living includes but looks beyond the material standard of living. [10]

(b) Discuss the most appropriate approach to enhance sustainable and inclusive growth in order to improve the standard of living of Singapore residents. [15]

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Question 1 © *Number of mergers and acquisitions (M&As) deals in Singapore from 2013 to 2021*; statista; https://www.statista.com/statistics/1023194/singapore-mergers-and-acquisitions-deals-volume/ 1 July 2021.
Question 4 © Andrew Hodge and Li Lin; *Boosting the Economy: The Impact of US Government Spending Plans*; https://www.imf.org/en/News/Articles/2021/07/01/na070121-boosting-the-economy-the-impact-of-us-government-spending-plans 2021.

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Answer **three** questions in total.

Section A

One or two of your three chosen questions must be from this section.

1 In 2021, there were over 800 mergers and acquisitions in Singapore. This was a significant increase from just over 480 recorded in 2020. A justification for these mergers and acquisitions is that they allow firms to benefit from economies of scale.

Source: Adapted from Statista, *23 March 2022*

(a) Explain internal economies of scale and external economies of scale and their link to a firm's long-run average cost of production. [10]

(b) Discuss whether gaining economies of scale is the only justification for mergers and acquisitions. [15]

2 The fixed costs of owning a new car in Singapore are considerably higher than the variable costs of using it. This is likely to lead to greater car use. The cost of manufacturing an electric car is higher than that of a petrol or diesel-powered car. This is likely to reduce the purchase of electric cars.

(a) Explain why the fixed costs of owning a new car in Singapore are considerably higher than the variable costs **and** why this is likely to lead to greater car use. [10]

(b) Discuss whether road pricing is the most appropriate policy choice for a government that seeks to reduce the environmental damage caused by car use. [15]

3 A government reduces the rate of income tax and increases the rate of goods and services tax.

(a) Explain, with examples, why the impact on expenditure from a reduction in the rate of income tax depends on a good's income elasticity of demand. [10]

(b) Discuss whether firms can increase the price of **all** products by the full amount of the goods and services tax increase. [15]

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Question 1 Figure 1	© L Onita; *Supermarkets face uncertain future after festive boost; Daily Telegraph*; www.telegraph.co.uk 6 January 2022.
Question 1 Extract 2	© R Downie; *Who are Tesco's main competitors?*; Investopedia; www.investopedia.com 23 September 2021.
Question 1 Extract 3	© *Supermarkets in Singapore*; Euromonitor; February 2021.
Question 1 Extract 4	© *Who we are:* Competition and Consumer Commission of Singapore; www.cccs.gov.sg
Question 2 Figure 2	© *US dollar Chinese yuan exchange rate*; Trading Economics; www.tradingeconomics.com 11 July 2023
Question 2 Extract 5	© L He; *China's currency is having an even better year than the US dollar. Here's why*; CNN Business; www.edition.cnn.com/2021/12/09/investing/china-yuan-2021-mic-intl-hnk/index.html 10 December 2021
Question 2 Table 3	© *Trade in Goods with Vietnam*, US Census Bureau, www.census.gov/foreign-trade/balance/c5520.html 11 July 2023
Question 2 Extract 6	Content removed due to copyright restrictions.
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Question 2 Extract 7	© International Affairs Think Tank; *Why joining the CPTPP is a smart move for the UK*; Chatham House – International Affairs Think Tank; www.chathamhouse.org/2021/03/why-joining-cptpp-smart-move-uk 19 March 2021.
Question 2 Extract 7	© C Freeman; *How will China's bid to join a CPTPP affect regional stability*; US Institute of Peace; www.usip.org 7 October 2021.
Question 2 Extract 7	© M-H Chiang; *China's application to join CPTPP comes to the fore, after the UK's entry*; ThinkChina; www.thinkchina.sg/chinas-application-join-cptpp-comes-fore-after-uks-entry 20 July 2023

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In September 2021, China formally applied to become a member of the CPTPP. This was not a surprise given China's considerable interests in the Asia-Pacific Rim. Economists believe that China's membership would not only add billions of dollars to the GDP of the bloc but it would also provide a welcome boost for the Chinese economy at a time when its growth rate has been falling. China's entry into the CPTPP is beneficial as it could offset its prolonged economic slowdown by accessing a larger market in other member countries for the Chinese exports. China is also projected to increase foreign direct investment, thus strengthening its role in the global supply chain networks.

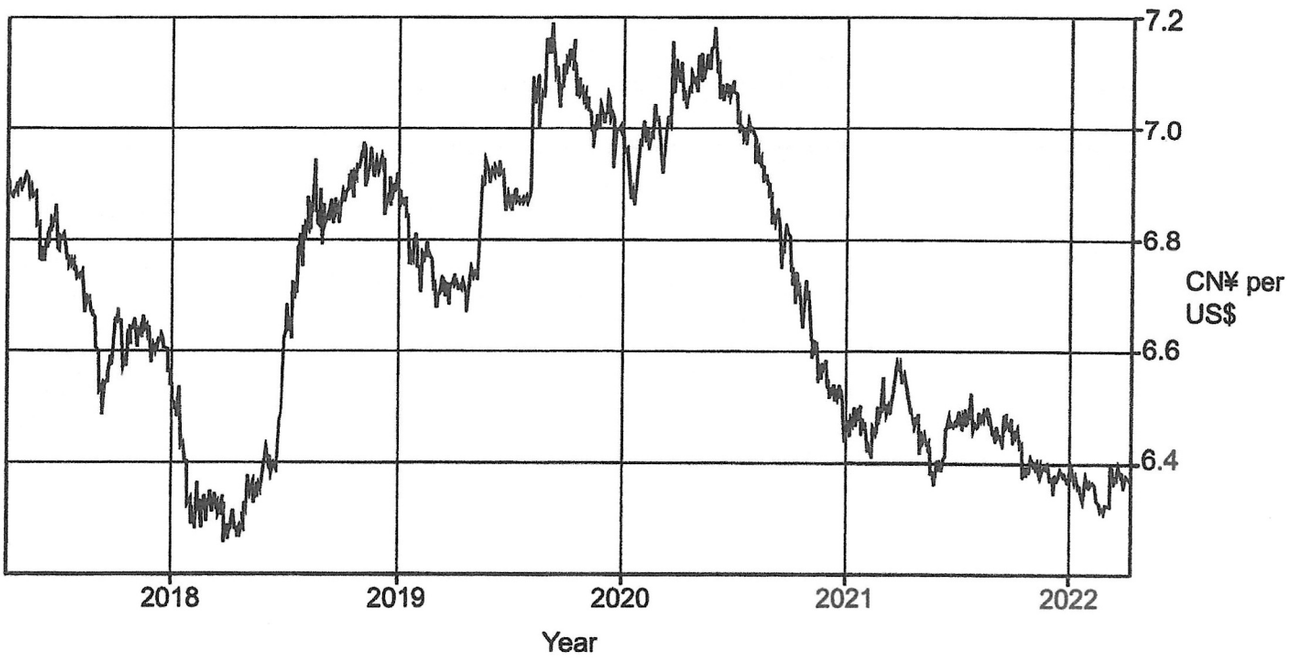
Sources: Breen J H, East Asia Forum, 1 February 2022
Chatham House – International Affairs Think Tank, 19 March 2021
Freeman C, US Institute of Peace, 7 October 2021
Chiang M-H, ThinkChina, 20 July 2023

Question 2: Changing economic relationships in the Asia-Pacific Rim

Extract 5: China's currency is having an even better year than the US dollar

China is struggling with a slowing economy, yet its currency, the Chinese yuan (CN¥), has rarely been stronger. It is now outperforming the US dollar (US$) at a time when the Federal Reserve, the US central bank, prepares to increase interest rates. The Chinese currency has risen more than 8% in 2021 compared to 24 other currencies.

Figure 2: US dollar Chinese yuan exchange rate, April 2017 to March 2022



Source: tradingeconomics.com, 11 July 2023

The yuan began to strengthen from mid-2020 after a period of what many thought was deliberate depreciation by the People's Bank of China (PBOC). Interestingly, the appreciation rather than the depreciation against the US dollar came after the PBOC stopped directly controlling the exchange rate. Instead, free market forces were left to determine how the yuan performed in the foreign exchange market.

There are concerns about the speed of the increase in the value of the CN¥ against the US$ as Beijing has introduced tighter credit conditions that could slow down economic growth even further. These issues do not seem to concern the PBOC which described the rise as 'relatively modest'.

Despite weaker economic growth, booming exports and short-term capital flows buying Chinese government bonds are credited as the main causes of the yuan's strong performance since 2020. This strengthening is projected to continue until mid-2023.

The stronger the yuan, the greater the likelihood that the world's central banks will keep currency reserves to promote the yuan's use. After all, much international trade is in US dollars and China buys a lot of commodities that are priced in US dollars. There is a downside if the yuan continues to strengthen; a stronger currency could cause Chinese exports to be less competitive. This could well threaten China's already fragile economic recovery from the Covid-19 pandemic.

Source: Adapted from L He, CNN Business, *10 December 2021*

Extract 3: Supermarkets in Singapore

In 2020, Singapore had around 580 supermarkets. Table 2 shows the market share of these supermarkets.

Table 2: Percentage of total Singapore supermarket sales, 2020

Supermarket	% market share
NTUC FairPrice	41.1
Sheng Siong	26.6
DFI Retail Group* (Dairy Farm International)	21.5
Prime Supermarkets	3.7
U Stars Private Limited	3.1
Others	4.0

**DFI Retail Group operates supermarkets including Giant, Cold Storage and Jason Market Place.*

In addition, year-on-year Singapore supermarket sales increased by 2.5% to 3.5% over the period 2010 to 2019. In 2020, sales growth was exceptionally high, at almost 30%, due to the effects of Covid-19 on lifestyles and panic buying by many residents. In 2021, year-on-year sales growth fell back to 4.5%. It was forecast that sales growth would return to pre-pandemic levels in 2022.

Source: Euromonitor, February 2021

Extract 4: The Competition and Consumer Commission of Singapore (CCCS)

The CCCS is a regulatory body with the following functions:

- to maintain and enhance efficient market conduct and promote overall productivity, innovation and competitiveness of markets in Singapore
- to eliminate or control practices that have an adverse effect on competition in Singapore
- to promote and sustain competition in markets in Singapore
- to promote a strong competitive culture and environment throughout the economy of Singapore.

In applying these functions, CCCS regulations allow companies to notify the regulatory body of a merger or anticipated merger. Parties may do so 'if they have serious concerns as to whether the merger or anticipated merger has led to or may lead to a substantial lessening of competition'.

The CCCS is unlikely to intervene in a merger situation **unless**:

- the merged entity has or will have a market share of at least 40% **or**
- the merged entity will have/has a market share of between 20% and 40% **and** the post-merger combined market share of the three largest firms is at least 70%.

Source: cccs.gov.sg/about-cccs, January 2022

Question 1: Supermarkets in the United Kingdom (UK) and Singapore

Extract 1: UK supermarkets face uncertain times

Supermarkets sell a wide range of food, drink and non-food household essentials which shoppers purchase on a regular basis. Over the last 40 years, UK large retailers such as supermarkets have grown in size, with large car parks to accommodate the regular weekly flows of shoppers. In residential areas, smaller convenience stores, often owned by the supermarkets, provide an additional service to meet the needs of residents. In 2021 there were an estimated 7 500 supermarkets and over 40 000 local convenience stores in the UK.

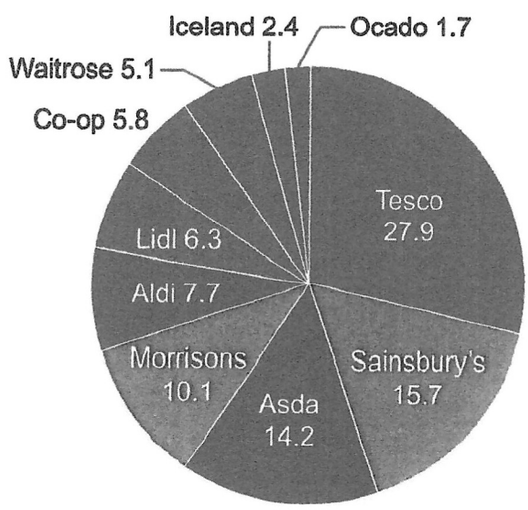
The most recent trend, accelerated by the Covid-19 pandemic, has been that many shoppers have turned to online shopping from the comfort of their own homes. Mobile devices can be easily used to order groceries and other items from supermarkets. It is now possible to order 'top up' supplies and take-away food through mobile devices for rapid delivery through on-demand apps often from local stores owned by supermarkets. Table 1 shows that the total retail grocery sales will continue to grow from 2021 to 2026.

Table 1: Forecast retail grocery sales in the UK, 2021 to 2026

Year	2021	2022	2023	2024	2025	2026
Forecast total retail grocery sales (£ billions)	212	214	216	220	224	229
Online sales as % of forecast total retail grocery sales	10.5	10.6	10.8	11.2	11.4	11.7

The degree of concentration in the market has increased dramatically over the last 20 years. This has come about through a series of mergers and acquisitions. As a result, the market in 2022 is dominated by Tesco alongside significant market shares for Sainsbury's, Asda and Morrisons (see Figure 1). Other firms have entered the market, notably Aldi and Lidl, both German-owned. They have had a big impact on the market and now compete nationally with the established companies. Amazon Fresh, a company based in the United States (US) is a more recent entrant into the UK market.

Figure 1: Percentage* of the UK's retail grocery market sales for 12 weeks to 26 December 2021



**Figures do not add up to 100% due to rounding*